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Indonesia in a year of shocks

An economist’s view from the National Economic Council

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Personal views, not an official DEN position

A council that advises the President on the economy

Re-established November 2024, directly under the President. Chair Luhut Pandjaitan, vice chair Mari Pangestu, six members; about 150 staff in a secretariat of four directorates. Not a ministry: we advise, we don't run programmes.

The mandate · Presidential Regulation 160/2024

Support and recommendations to the President on strategic economic policy and priority programmes

- Align strategic policies and priority programmes
- Advise on implementing national priority programmes
- Advise on removing obstacles to those programmes
- Monitor and evaluate, and report back

Scope listed on our website: macro, fiscal and monetary policy; finance; investment and trade; poverty; digital transformation; institutions and regulation; green economy and energy

In practice · the last two years

Two things we ended up doing most

1 Respond to shocks with evidence

Fast numbers for the President on what a shock does to the budget, prices and people, and which response costs least

2 Push a few no-regrets reforms

Reforms that are good in any scenario, where our evidence gives us a niche to succeed. We try not to do everything.

2026: one shock after another

Some of it is bad luck, some of it is our own policy choices

Global

- War in the Gulf: Brent from about $70 to over $110, and back above $100
- A 19% US tariff on most Indonesian goods
- World food prices up: sugar +18%, cereals +14%, vegetable oils +10%

Financial

- Rupiah at a record low near 18,200 per dollar; Bank Indonesia raises rates
- Moody’s and Fitch cut the rating outlook to negative
- MSCI freezes Indonesia, then proposes “standalone” status; stocks down about 40%, the worst day since 1998

Real economy

- Costs pass through: industrial diesel +37% in one month, plastics +30%
- Retail sales and manufacturing contract
- Sulphur for nickel processing costs three times last year’s price

Climate and food

- A very strong El Niño: late rains, drought in Java
- Rice area failing at about three times the 2023 level
- Peat fires in six provinces of Kalimantan and Sumatra
- Rice, beef, cooking oil and sugar prices rising; prices are people’s top worry

Sources: Bloomberg, Reuters, BPS, Bank Indonesia, BMKG, FAO, MSCI

How the international press read Indonesia in 2026

From MSCI's first warning to the "standalone" proposal: ten headlines, in date order

February → October 2026

Jakarta index down about 40% this year

Asia Times
4 February 2026

Markets losing faith in Prabowo’s grasp of economic reality

Indonesia on a 1997-like razor’s edge as investors flee the scene after MSCI warns of a downgrade due to weak governance

Fortune
27 March 2026

Indonesia faces a ‘perfect storm’ of downgrade fears, trade tensions and now the Iran war—and 2026 has only just started

The Economist
14 May 2026

Indonesia’s president is jeopardising the economy and democracy

Prabowo Subianto is too spendthrift and too authoritarian

Bloomberg
5 June 2026

Indonesia Facing a Crisis of Confidence as Markets Divine Prabowo’s Wiles

Reuters
10 June 2026

Prabowo’s populist policies fuel Indonesia’s market ‘doom-loop’ as rupiah, stocks plunge

East Asia Forum
5 July 2026

Indonesia pays the price for its out-of-sync economic policies

Bloomberg
16 October 2026

Indonesia Caught Off Guard by Surprise MSCI Downgrade Warning

CNBC
19 October 2026

Indonesian stocks plunge to six-year low as MSCI downgrade fears mount

Reuters
21 October 2026

Prabowo accuses MSCI of trying to intimidate Indonesia after market rout

The Economist
22 October 2026 · Leader

Indonesia’s populist president is losing his charm

Prabowo Subianto’s erratic policies are holding back his country

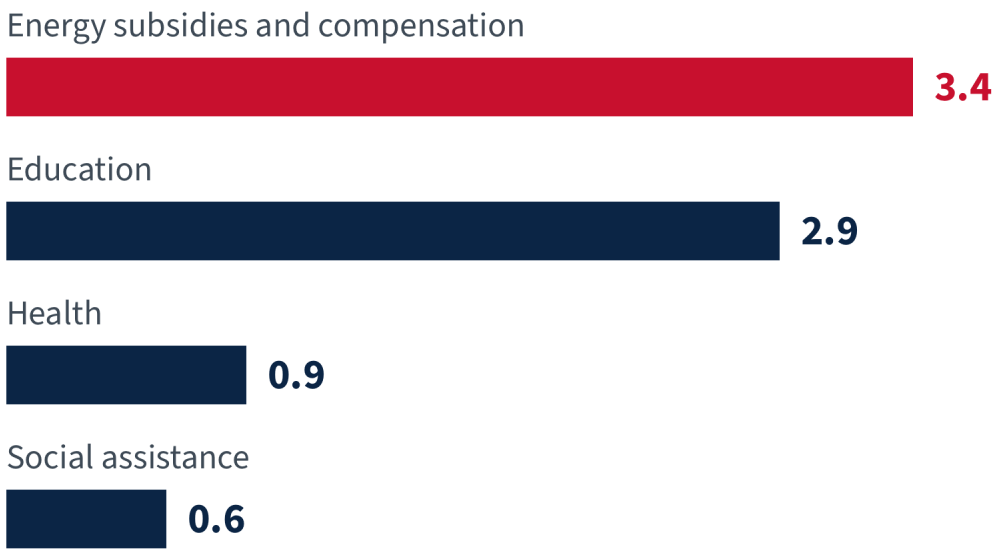
Headlines and subtitles as published by each outlet; compiled 28 October 2026. Reuters items as syndicated by Malay Mail (10 Jun) and The Jakarta Post (21 Oct).

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Energy subsidies now cost more than education

Example 1: the oil shock

2026 budget allocation, % of GDP



Brent averaged about $100 since September, against $75 assumed in the budget. Part of the bill is unpaid compensation owed to Pertamina and PLN.

What we put to the President

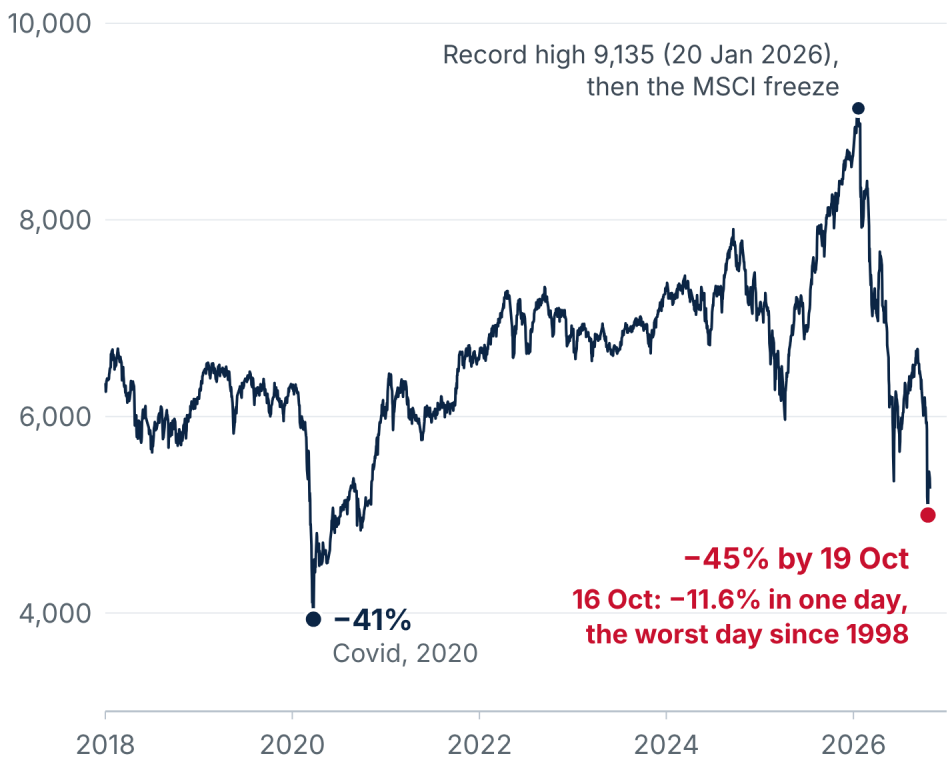
- Keep subsidised fuel prices to year-end: the social cost of a rise is too high now
- Let non-subsidised fuel follow world prices, to ease the burden on Pertamina
- If quotas run short: add quota, or ration by vehicle type
- Working-capital support for Pertamina and PLN
- Start the shift from cheap fuel to direct support for households

Source: Ministry of Finance data, DEN estimates

MSCI's "standalone" proposal: enforcement, not the law

Example 2: markets and trust

Jakarta Composite Index · daily close, 2018–2026



What MSCI proposed, 15 October

Move Indonesia from emerging markets to "standalone", below frontier, alongside Argentina and Ukraine. Reasons: opaque ownership, suspected coordinated trading and "lack of evidence of meaningful enforcement". Decision by 30 June 2027. UBS: $4 billion passive and up to $15 billion active outflows.

What we advised

The rules already exist; use them: sanctions that reach individuals, not only companies; publish who ultimately owns listed shares; raise the free float. The first deterrent fines, Rp2.1 trillion, came on 16 October. MSCI wants sustained enforcement: we have eight months to show it.

Why this is not 1998

Banks are well capitalised, foreign-currency borrowing is low, corporate leverage is low, public debt is around 30% of GDP. The issue is trust in policy, not solvency.

Sources: MSCI (15 Oct 2026), Reuters, OJK; index daily close via Yahoo Finance, author's calculation

No-regrets reforms: delivered or under way

Digital government, starting with social assistance

Digital ID, data exchange and digital payment, moving fast thanks to our chair's convening power across ministries. First use case, social assistance: from up to 200 days to minutes; 11.5 million families registered; in Bali, eligible families left out fell from 88% to 64%. Next: energy subsidies, tax, procurement.

Free school meals: better targeting, lower cost

Our survey found pupils who get the meals miss fewer days, but coverage is skewed to cities and better-off families: 19% of target children in the poorest tenth against 26% in the richest. We advised re-prioritising remote, rural and poor areas; the 2026 budget was trimmed from Rp335 to about Rp229 trillion.

Fiscal discipline kept

The 3%-of-GDP deficit ceiling has been held through reprioritising spending rather than new debt. S&P kept the BBB+ rating with a stable outlook in July, citing exactly that. The cost is real: cuts to transfers hurt some regions.

A minimum wage set by formula

Annual increases now follow a clear formula tied to economic conditions and living costs, instead of a political negotiation each year. Workers get predictable real gains; employers get certainty to invest.

No-regrets reforms: accepted in principle, far from done

Energy subsidies to direct support

Replace cheap fuel and electricity with cash to households that need it, using the new social registry. A pilot for electricity, with PLN in one region, is planned for early 2027.

Less red tape

Import quotas and technical permits still leave manufacturers short of inputs. Licensing with service deadlines and deemed approval is in the regulation (PP 28/2025) but not yet in practice.

Legal certainty

81% of corruption cases rest on a broad “state loss” article; much of it is administrative error. Proposed to the President on 20 October: align with the UN convention, protect good-faith business judgment, set stronger penalties for bribery.

Capital-market credibility

Enforcement, beneficial-owner disclosure, free float. MSCI’s consultation runs to April 2027; the test is sustained enforcement, not announcements.

Tax base, not tax rates

Fewer exemptions, a lower VAT threshold for small firms, simpler tobacco excise tiers, and better data systems. Revenue growth this year depends too much on delayed refunds.

Earning foreign exchange

Visa-free entry to lift tourism (15 million visitors against Malaysia’s 42 million), an international financial centre with its own courts, and incentives to reinvest dividends at home.

A think tank inside government

How we work, and what comes next

Our tools

- Our own surveys: school meals, households, business costs
- Field monitoring, with reports back within weeks
- Published weekly: food prices, manufacturing, a newsletter; working papers on tourism, textiles, women's work
- Open seminars attended by ministries, think tanks and universities
- Partners: ERIA, AMRO, ADB Institute, the Australian Productivity Commission, IGC at LSE; research fellows from universities

The medium-term list we set in August

- Twenty-five years of fiscal decentralisation: what worked
- Coordination of fiscal, monetary and financial policy
- Rule of law as an economic asset
- Industrial policy: natural resources and downstreaming
- Geoeconomics in a fragmented world

Climate is not on this list yet. More on that next.

Climate: honestly, not yet an explicit workstream

Green economy and energy are in our scope on paper. In practice, the 2026 emergencies took all our time. But the emergencies themselves show why climate matters for the economy.

Fossil dependence has a fiscal cost

Energy subsidies at 3.4% of GDP; oil imports weaken the rupiah. Subsidy reform is fiscal and climate policy at once.

Adaptation is this year's problem

El Niño, failing irrigation, food prices and peat fires; the poor are affected first.

Downstreaming is powered by coal

Nickel, aluminium and battery exports near $50 billion this year; smelters powered by about 19 GW of captive coal. Our June review: Indonesia meets about half of global ESG standards for critical minerals. Carbon border rules are coming.

Land and food

Self-sufficiency goals for rice, sugar and biofuel compete with forests and peat for land.

Questions I'd like to learn from you

For discussion

1 How do you make energy-subsidy reform politically feasible? What did France learn?

2 Transition finance when fiscal space and markets are tight: what comes after JETP?

3 Green industrial policy for nickel: what will Europe ask of Indonesian metals?

4 A credible path for a coal economy: what will the COP31 fossil-fuel roadmap expect?